

FINTRUST BANK LIMITED

Retail Lending Group — Mortgages

HOME LOAN POLICY

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CLASSIFICATION: INTERNAL

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Status of this document. This Policy is an internal document of FinTrust Bank Limited. It states the Bank's own standards and the manner in which its staff, panel professionals and agents are required to act. It is not a contract with any borrower. The contractual relationship between the Bank and a borrower is governed by the sanction letter, the loan agreement, the security documents and the Key Facts Statement. Where those documents are silent, or are less favourable to the borrower than this Policy, this Policy shall guide the Bank's conduct.

Monetary references. All amounts are expressed in Indian Rupees and are indicative for the purposes of this Policy. The rates, charges and thresholds applicable to a particular loan are those disclosed in the Key Facts Statement issued to that borrower, which prevails over the indicative figures reproduced in this document. A charge not disclosed in that Statement is not recoverable.

Interpretation. Words importing the singular include the plural and words importing one gender include every gender. A reference to a Section is a reference to a Section of this Policy. A reference to a borrower includes every co-applicant where the context requires, and a reference to the property is to the immovable property mortgaged or offered to be mortgaged. Headings are for convenience only and do not affect interpretation.

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1. Purpose and Objectives

1.1 Purpose

This Home Loan Policy ("the Policy") establishes the principles, standards and operating rules governing the origination, appraisal, sanction, documentation, security creation, disbursement, servicing, monitoring, enforcement and closure of home loans by FinTrust Bank Limited ("FinTrust" or "the Bank"). A home loan is a term loan extended to an individual for the purchase, construction, extension, improvement or renovation of a residential property, secured by a mortgage over immovable property.

1.2 Relationship with the Personal Loan Policy

The Personal Loan Policy governs unsecured lending to individuals. This Policy governs secured lending against immovable property. The two share a common approach to disclosure, appraisal discipline, penal charges, collection conduct, credit reporting and grievance redressal, and where a provision of this Policy is expressed in the same terms as the corresponding provision of that Policy, the two shall be read and applied consistently.

The differences are substantive and deliberate. A home loan runs for a materially longer tenure, is priced against the value of security as well as the borrower's income, requires independent legal and technical appraisal of the property, is ordinarily disbursed in tranches against construction progress, and carries obligations relating to the custody, release and return of title documents that have no counterpart in unsecured lending. Staff shall not import a provision from one policy into the other by analogy.

1.3 Objectives

- To ensure that a loan is sanctioned only where the borrower has the assessed capacity to service it over the whole of its tenure, and where the property offered constitutes valid and enforceable security.
- To ensure that title is independently examined, that the property is independently valued, and that neither function is performed by a person with an interest in the loan being sanctioned.
- To ensure that the borrower is told the full cost of the loan, expressed as an annual percentage rate, before being asked to commit.
- To ensure that disbursement against an incomplete property is released only against verified progress, so that the Bank's exposure does not run ahead of the security.
- To ensure that on a change in the rate of interest the borrower is given a real and informed choice between a change in instalment and a change in tenure.
- To ensure that title documents are held securely, are released promptly on closure, and that failure to release them is compensated without the borrower having to claim it.
- To ensure that enforcement is a last resort, pursued only after the borrower has had a fair opportunity to regularise or restructure.

1.4 Guiding Principles

Security supports, it does not substitute. The existence of a mortgage does not justify sanctioning a loan the borrower cannot service. Repayment capacity is assessed first, and the security is assessed separately.

Independence of appraisal. Legal opinion, valuation and technical certification are obtained from panels empanelled and rotated centrally, and no officer with a business target may select the professional for a particular case.

The borrower's documents are the borrower's. Title deeds are held as security, not as leverage. They are returned when the debt is discharged, promptly and without condition.

Long tenure demands continuing disclosure. A loan running for decades requires the borrower to be told, at each reset and each material event, where they now stand.

2. Scope and Applicability

2.1 Scope

This Policy applies to all home loans denominated in Indian Rupees sanctioned to individuals by any domestic branch or digital channel of FinTrust Bank Limited, secured by a mortgage over immovable property situated in India, and to all variants listed in Section 5.

2.2 Persons Bound by the Policy

The Policy binds all employees of the Bank; all direct selling agents, business correspondents, lending service providers and collection agents engaged in relation to home loans; all advocates, valuers and technical consultants on the Bank's panels; and all third parties operating branded or co-branded FinTrust mortgage channels.

2.3 Exclusions

This Policy does not govern:

- Unsecured personal loans, which are governed by the Personal Loan Policy.
- Loans against property where the purpose is not the acquisition or improvement of a residence, which are governed by the Loan Against Property Policy, notwithstanding that the security may be residential.
- Loans for the purchase of commercial or industrial premises, which are governed by the Commercial Real Estate Policy.
- Construction finance extended to a developer, which is governed by the Real Estate Developer Finance Policy. The approval of a developer's project for the purpose of lending to individual purchasers is governed by paragraph 9.7 of this Policy.
- Loans against rent receivables, and lease rental discounting.
- Staff housing loans, which are governed by the Staff Advances Policy.

2.4 Conflict and Precedence

In the event of conflict between this Policy and any statutory provision, regulatory direction or judicial order, the latter shall prevail and the Policy shall be deemed amended to that extent from the date the external requirement takes effect. In the event of conflict between this Policy and any internal circular, this Policy shall prevail unless the circular expressly records that it has been approved as an amendment under Section 22.

3. Definitions

Annual Percentage Rate (APR) means the all-inclusive annual cost of credit, expressed as a percentage, computed to include the rate of interest and every fee, charge and cost payable to the Bank or to a third party on the Bank's behalf, but excluding contingent charges.

Approved Project means a developer's project appraised and approved by the Bank under paragraph 9.7 for the purpose of lending to purchasers of units in it.

Completion Certificate means the certificate issued by the competent authority certifying that construction has been completed in accordance with the sanctioned plan.

Encumbrance Certificate means the certificate issued by the registering authority disclosing registered transactions affecting the property over the period searched.

Equitable Mortgage means a mortgage by deposit of title deeds created in a place notified for that purpose.

Loan to Value Ratio (LTV) means the ratio, expressed as a percentage, of the sanctioned loan amount to the value of the property assessed under Section 9.

Margin means the portion of the property cost to be met by the borrower from the borrower's own sources, being the complement of the loan to value ratio.

Pre-EMI Interest means interest payable on the amount disbursed during the period before the commencement of the equated monthly instalment.

Reset Date means the date on which the rate of interest on a floating rate loan is revised by reference to the external benchmark.

Title Documents means the original documents of title to the property deposited with the Bank as security, and includes every document listed in the deposit memorandum.

Under-Construction Property means a property in respect of which a completion certificate has not been issued.

4. Governance and Regulatory Framework

4.1 Regulatory Basis

Home loans are extended by FinTrust under the licence granted to it as a banking company and are subject to directions issued from time to time by the banking regulator, including directions on housing finance and loan to value ratios, the fair practices code for lenders, the display of the annual percentage rate and the Key Facts Statement, the treatment of penal charges, the reset of floating rate loans and the borrower's options on reset, income recognition and asset classification, the release of movable and immovable property documents on repayment, the registration of security interests with the central registry, the engagement of recovery agents, and the reporting of credit information.

4.2 Policy Ownership

The Mortgages vertical within the Retail Lending Group is the owner of this Policy. The Head of Retail Lending is accountable for its accuracy, currency and internal consistency. The Chief Risk Officer is accountable for the credit standards in Section 8, the loan to value standards in Section 10 and the classification standards in Section 18.

4.3 Approval Authority

This Policy is approved by the Board of Directors on the recommendation of the Risk Management Committee. Board approval is required for adoption of the Policy, for any amendment to Sections 1, 8, 10, 18, 19 and 22, for the introduction or withdrawal of a variant, and for any change to the loan to value ceilings in Section 10. The Asset and Liability Committee approves the benchmark and the rate methodology. The Product and Pricing Committee may approve spreads within that methodology and the charges in Section 11.

4.4 Three Lines of Defence

Line	Function	Primary responsibility
First	Branches, mortgage sales, credit underwriting, loan operations, collections	Correct application of the Policy; appraisal quality; security creation; conduct in collection
Second	Credit Risk, Compliance, Operations Risk, Legal	Credit and LTV standards, panel governance, classification integrity, thematic testing, exception governance
Third	Internal Audit	Independent assurance, including credit audit, title deed custody verification and classification verification

4.5 Exceptions

Any departure from a provision of this Policy constitutes an exception and requires prior written approval from the authority specified in Section 22. Exceptions shall be recorded in the Exception Register maintained by Compliance, shall specify a validity period not exceeding twelve months, and shall be reported in aggregate to the Risk Management Committee each quarter. No exception may be granted to Section 10, Section 18, Section 19, paragraph 11.6, paragraph 20.4 or paragraph 9.3.

5. Product Variants and Purposes

5.1 Product Catalogue

Code	Variant	Purpose	Maximum tenure
HL-PUR	FinTrust Home Purchase	Purchase of a ready or under-construction residential unit	30 years
HL-RES	FinTrust Resale Home	Purchase of a residential unit in the secondary market	30 years
HL-CON	FinTrust Self Construction	Construction on a plot owned by the borrower	25 years
HL-PLC	FinTrust Plot and Construction	Purchase of a plot together with construction on it	25 years
HL-IMP	FinTrust Home Improvement	Renovation, extension or improvement of an owned residence	15 years
HL-BAL	FinTrust Home Loan Balance Transfer	Takeover of a home loan from another lender	30 years
HL-TOP	FinTrust Home Top-up	Additional borrowing against an existing mortgage	Residual tenure of the base loan

5.2 Tenure Limits

The tenure shall not extend beyond the borrower's seventieth year of age, or the seventy-fifth year where the assessed income continues beyond seventy and is evidenced. Where there is more than one applicant, the limit is applied to the applicant whose income is principally relied upon.

5.3 Plot and Construction

A loan for the purchase of a plot shall be sanctioned only in conjunction with construction on it. The sanction shall record the period within which construction must commence, not exceeding twenty-four months from disbursement of the plot component, and the period within which it must be completed, not exceeding thirty-six months from commencement. Where construction does not commence within the recorded period, the Bank shall review the facility, and may reprice it to the rate applicable to a loan against property after giving the borrower sixty days' notice.

5.4 Home Improvement

A Home Improvement loan is secured by a mortgage over the property being improved. The estimated cost shall be certified by a panel valuer. Disbursement shall be linked to progress in the manner set out in Section 13, save where the sanctioned amount does not exceed Rs. 10,00,000, in which case it may be disbursed in a single tranche.

5.5 Top-up

A top-up may be sanctioned on an existing home loan that has run for at least twelve months without any instalment having been overdue, provided that the aggregate of the outstanding base loan and the top-up remains within the loan to value ceiling in Section 10 assessed against a current valuation. A top-up is a fresh loan requiring fresh appraisal, a fresh Key Facts Statement and fresh consent. The purpose of a top-up

shall be recorded, and a top-up shall not be sanctioned for a speculative purpose or for the repayment of a facility classified as fraud or wilful default.

5.6 Balance Transfer

Where a loan is taken over from another lender, the Bank shall obtain a statement of the amount outstanding and a list of the title documents held by the transferor lender, shall disburse directly to that lender, and shall obtain the title documents from it within the period recorded in the sanction. The mortgage shall be created in favour of the Bank on receipt of the documents. The Bank shall not release any incremental amount to the borrower before the mortgage is created.

6. Eligibility and Applicants

6.1 Eligible Borrowers

An applicant is eligible where the applicant is an individual aged twenty-one years or above at application; is resident in India, or holds a category of residency the Bank accepts for mortgage lending; has a verifiable and regular source of income; meets the credit standards in Section 8; and has completed customer due diligence to the standard applicable under the Savings Account Policy.

6.2 Ineligible Applicants

A loan shall not be sanctioned to an applicant who is classified as a wilful defaulter; who is associated as a proprietor, partner or director with an account classified as fraud or wilful default; who appears on a designated sanctions list; who declines to furnish the information or documentation required under Section 7; or in respect of whom the Bank holds a record of a settlement or write-off, unless sanction is approved by the Head of Retail Lending with reasons recorded.

6.3 Co-applicants and Co-owners

Every co-owner of the property shall be made a co-applicant to the loan. A person who is not a co-owner may be a co-applicant where that person's income is relied upon, or where that person is the spouse, parent or child of an applicant. Every co-applicant is jointly and severally liable for the whole of the amount due, and shall be appraised, verified and reported on as a borrower.

The income of a co-applicant may be aggregated for the purpose of paragraph 8.4 only where the co-applicant is a spouse, parent or child of the applicant, and only where that co-applicant is also a co-owner or has executed the mortgage as a guarantor.

6.4 Guarantors

A guarantee shall be sought only where the appraisal requires it, and the reason shall be recorded. A guarantor shall be furnished, before executing the guarantee, with the sanctioned amount, the tenure, the rate, the instalment, a description of the property and a statement of the extent and duration of the liability assumed. A guarantor shall be informed of any default within thirty days of its occurrence and of any proposal to restructure before it is given effect.

6.5 Number of Loans

An individual may hold not more than three home loans with the Bank at any time, inclusive of a top-up. A fourth loan requires the approval of the Head of Retail Lending, and shall be assessed against the applicant's aggregate obligations across all lenders.

6.6 Non-Discrimination

The Bank shall not decline an application, or vary its terms, by reference to any characteristic unrelated to creditworthiness or to the enforceability of the security, including the location of the property within a lawfully developed area. Where an application is declined, the principal reason shall be recorded and communicated.

7. Application, Documentation and Verification

7.1 Channels

An application may be made at a branch, through the Bank's digital channel, or through a lending service provider. The standard of appraisal and documentation is identical across channels. The provisions of the Personal Loan Policy relating to lending service providers, the disclosure of their identity, the flow of funds and the data a digital application may collect apply equally to home loans.

7.2 Documentation

The applicant shall furnish the documents listed in Annexure A, comprising applicant documents appropriate to the employment category and property documents appropriate to the transaction type.

7.3 Verification of Income

Income shall be verified from independent sources and not from the applicant's declaration alone. Acceptable sources are salary credits observed in a bank statement, salary slips corroborated by bank statements, income tax returns with computation, audited financial statements, and pension payment records. Rental income may be reckoned to the extent of seventy per cent of the amount evidenced by a registered lease, and only where it is credited to a bank account. Where sources conflict, the lower figure shall be adopted and the reason recorded.

7.4 Verification of Employment and Residence

Employment shall be verified independently of documents furnished by the applicant. Residence shall be verified from the officially valid document, and a field visit shall be conducted in every case where the sanctioned amount exceeds Rs. 50,00,000, where the applicant is self-employed, or where the application is flagged by the appraisal system. The verification report shall record the method, the date and the name of the verifying officer.

7.5 Credit Information Reports

The Bank shall obtain a credit information report on the applicant and on every co-applicant and guarantor, from at least two credit information companies, with consent recorded. The applicant shall be told that enquiries will be made during the currency of the loan.

7.6 Acknowledgement and Turnaround

Every application shall be acknowledged with a reference number at submission. A decision shall be communicated within the turnaround time in Annexure D. Where a decision cannot be given within that time, the applicant shall be told the reason and the expected date.

7.7 Declined Applications

Where an application is declined, the decision shall be communicated in writing within seven days, stating the principal reason and the grievance channel. Where the decline arises from the legal or technical appraisal of the property, the applicant shall be furnished with a copy of the legal opinion and the valuation report obtained in respect of that property, free of charge.

7.8 Fees on Decline

Where a processing fee has been collected and the application is declined, the fee shall be refunded within seven business days, save for the actual cost of the legal and technical appraisal already incurred, which may be retained and shall be itemised.

8. Credit Appraisal and Repayment Capacity

8.1 Basis of Appraisal

Every loan shall be appraised on the borrower's assessed capacity to repay from regular income over the whole of the tenure. The existence of security does not reduce the standard of appraisal, and a loan shall not be sanctioned on the strength of the property alone.

8.2 Assessed Net Monthly Income

Assessed net monthly income is the borrower's regular income net of statutory deductions, averaged over the preceding six months for salaried applicants and the preceding two completed financial years for others. Non-recurring income shall be excluded or discounted, and the treatment recorded.

8.3 Existing Obligations

Existing obligations comprise every instalment payable on any credit facility from any lender, as disclosed by the applicant and as reflected in the credit information reports, together with the minimum amount due on every credit card held. Where the disclosure differs from the reports, the higher figure shall be adopted unless the difference is explained and the explanation recorded.

8.4 Debt Burden Ratio

Assessed net monthly income	Maximum debt burden ratio
Up to Rs. 50,000	50%
Above Rs. 50,000 and up to Rs. 1,50,000	60%
Above Rs. 1,50,000 and up to Rs. 5,00,000	65%
Above Rs. 5,00,000	70%

The ratio shall include the instalment on the proposed loan. These are ceilings and not entitlements; a lower ratio shall be applied where disposable income after obligations is inadequate having regard to the size of the household. No exception to these ceilings may be granted.

8.5 Tenure and Age

Where the tenure would extend beyond the borrower's sixtieth year, the appraisal shall assess the income expected to be available after that age, and shall record the basis. Where it cannot be established that income will continue, the tenure shall be curtailed or a co-applicant with independent income of sufficient residual working life shall be required.

8.6 Credit Score and Conduct

The credit information report shall be examined for the score, the conduct of existing facilities, the number of recent enquiries, and any account classified as written off, settled, restructured, suit-filed or in wilful default. A loan shall not be sanctioned solely because the score exceeds a threshold; the underlying conduct shall be examined and the assessment recorded.

8.7 Delegated Sanctioning Authority

Loan amount	Sanctioning authority
Up to Rs. 50,00,000	Senior Credit Manager, Mortgages
Above Rs. 50,00,000 and up to Rs. 2,00,00,000	Regional Credit Head
Above Rs. 2,00,00,000 and up to Rs. 5,00,00,000	Head of Mortgages Credit
Above Rs. 5,00,00,000	Credit Committee
Any amount where the debt burden ratio is within 5 percentage points of the ceiling	One level above the ordinary authority
Any amount where the loan to value is within 2 percentage points of the ceiling	One level above the ordinary authority
Any amount to an applicant within paragraph 6.2	Head of Retail Lending

The officer who conducts the appraisal shall not be the officer who sanctions the loan.

8.8 Automated Decisioning

Where an automated model contributes to the decision, it shall be documented, independently validated before deployment and revalidated at least annually, and shall not use any input that is a proxy for a characteristic on which discrimination is prohibited under paragraph 6.6. No home loan shall be sanctioned wholly by automated decision without a documented review by the sanctioning authority. Every automated decline shall be explainable in terms of the principal factors that produced it, and the applicant shall be given that explanation on request.

9. Property Appraisal

9.1 Three Independent Assessments

Every property offered as security shall be subjected to three assessments: a legal examination of title, a technical assessment of construction and compliance, and a valuation. Each shall be conducted by a professional on the Bank's panel who has no interest in the loan being sanctioned.

9.2 Panel Governance

Advocates, valuers and technical consultants shall be empanelled centrally following due diligence as to qualification, experience, professional standing and independence. Empanelment shall be reviewed every two years. A panel member shall not be a relative or business associate of the borrower, the seller or the developer, and shall certify the absence of such connection in every report.

9.3 Allocation of Cases

The allocation of a case to a panel member shall be made by the central allocation system on a rotational basis. No officer with a business target, and no officer involved in sourcing or sanctioning the loan, shall select the panel member for a particular case or request the reallocation of a case. A request for reallocation shall be made only on a recorded conflict of interest and shall be approved by the Head of Mortgages Credit.

9.4 Legal Examination of Title

The panel advocate shall examine the chain of title for the period prescribed by the applicable practice, ordinarily not less than thirty years, shall obtain and examine the encumbrance certificate for that period, and shall issue a written opinion stating whether the title is clear, marketable and free from encumbrance, identifying every document to be deposited to create a valid mortgage, and specifying any condition to be satisfied before disbursement.

A loan shall not be disbursed on a qualified opinion unless every qualification has been satisfied and the advocate has confirmed satisfaction in writing. Where two advocates have given inconsistent opinions on the same property, the matter shall be referred to Legal for a decision, and the decision recorded.

9.5 Technical Assessment

The panel technical consultant shall verify the identity and location of the property, the conformity of construction with the sanctioned plan, the approvals obtained from the competent authority, the stage of construction where the property is under construction, the quality and age of construction where the property is a resale, and the marketability of the unit. Where construction deviates from the sanctioned plan, the extent shall be quantified and reported, and a loan shall not be sanctioned against the deviated portion.

9.6 Valuation

Valuation shall be conducted by a panel valuer on the basis of the prevailing market rate for comparable properties in the locality, and shall state the basis, the comparables relied upon and the date of inspection. Where the sanctioned amount would exceed Rs. 2,00,00,000, two independent valuations shall be obtained and the lower shall be adopted. A valuation shall not be relied upon where it is more than six months old at the date of sanction.

The value adopted for the purpose of Section 10 shall be the lower of the valuation and the documented transaction consideration, save in the case of self-construction or improvement, where the value adopted shall be the sum of the assessed value of the land and the certified cost of construction.

9.7 Approved Projects

The Bank may appraise a developer's project and approve it for lending to purchasers of units in it. Approval requires examination of the developer's title to the land, the approvals obtained, the registration of the project with the competent authority, the developer's track record, and the status of construction. Approval of a project dispenses with a separate legal examination of the chain of title for each purchaser, but does not dispense with the technical assessment of the individual unit, the valuation, or the appraisal of the purchaser.

An approved project shall be reviewed at least annually and on any adverse development. Where approval is withdrawn, loans already sanctioned shall be reviewed individually and undisbursed tranches shall not be released without the approval of the Head of Mortgages Credit.

9.8 Disclosure to the Applicant

A copy of the legal opinion and the valuation report obtained in respect of the applicant's property shall be furnished to the applicant free of charge, whether or not the loan is sanctioned. The Bank shall not withhold either document on the ground that it was obtained for the Bank's own purposes.

10. Loan to Value and Margin

10.1 Ceilings

Sanctioned loan amount	Maximum loan to value	Minimum margin
Up to Rs. 30,00,000	90%	10%
Above Rs. 30,00,000 and up to Rs. 75,00,000	80%	20%
Above Rs. 75,00,000	75%	25%

These ceilings may not be exceeded, and no exception may be granted.

10.2 Costs Excluded from Value

Stamp duty, registration charges and other documentation costs shall be excluded from the property value for the purpose of computing the loan to value ratio, save where the sanctioned amount does not exceed Rs. 30,00,000, in which case they may be included.

10.3 Variant-Specific Ceilings

Variant	Maximum loan to value
Home Purchase, Resale, Balance Transfer	Per paragraph 10.1
Self Construction	80% of land value plus certified construction cost
Plot and Construction	70% of plot cost; construction component per paragraph 10.1
Home Improvement	70% of the certified cost of improvement
Top-up	Aggregate of base loan outstanding and top-up within paragraph 10.1, on current valuation

10.4 Evidence of Margin

The borrower's contribution shall be brought in before or concurrently with the Bank's disbursement, and shall be evidenced by bank statements and by receipts issued by the seller or developer. The Bank shall not disburse ahead of the borrower's contribution in a manner that would cause the loan to value ratio to exceed the ceiling at any point during the disbursement.

10.5 Source of Margin

The source of the borrower's contribution shall be examined. Margin funded by borrowing from any lender, or from an unsecured source disclosed in the credit information report, shall not be reckoned as the borrower's own contribution, and the corresponding instalment shall be included in existing obligations under paragraph 8.3.

10.6 Revaluation

Where a loan runs for more than five years and a top-up is sought, or where the Bank has reason to believe the value has materially declined, a fresh valuation shall be obtained. A decline in value shall not by itself be

a ground for recall of a performing loan, and the Bank shall not demand additional security from a borrower whose account is regular solely on account of a change in market value.

11. Pricing, Charges and the Key Facts Statement

11.1 Rate of Interest

Interest is charged on a monthly reducing balance. The rate is determined within the methodology approved by the Asset and Liability Committee, by reference to the external benchmark, the assessed credit risk, the loan to value ratio, the tenure and the employment category.

Variant	Indicative rate range per annum
Home Purchase, Resale	8.35% to 10.75%
Self Construction, Plot and Construction	8.60% to 11.00%
Home Improvement	8.85% to 11.25%
Balance Transfer	8.35% to 10.50%
Top-up	9.00% to 11.50%

11.2 Floating and Fixed Rates

A home loan is ordinarily sanctioned on a floating rate linked to the external benchmark specified in the loan agreement. A fixed rate may be offered for a defined initial period, after which the loan reverts to the floating rate unless a fixed rate for the residual tenure has been agreed. The borrower shall elect between fixed and floating before sanction, and the election shall be recorded and reflected in the Key Facts Statement.

11.3 Charges

Charge	Amount
Processing fee	Up to 0.50% of the sanctioned amount, maximum Rs. 15,000
Legal and technical appraisal, at actuals	Rs. 3,500 to Rs. 8,500 depending on property type
Documentation charge	Rs. 1,000
Central registry filing	At actuals, as prescribed
Instalment dishonour charge	Rs. 500 per instance
Switching from floating to fixed	0.50% of the outstanding principal
Switching from fixed to floating	0.25% of the outstanding principal
Reduction of spread on request during the tenure	Up to 0.25% of the outstanding principal
Duplicate statement, interest certificate, provisional tax certificate	Nil
Amortisation schedule, any number of times	Nil
Foreclosure statement	Nil
List of documents held, on request	Nil
No-objection certificate on closure	Nil

Charge	Amount
Release of mortgage and return of documents	Nil

11.4 Charges Not to Be Levied

No charge shall be levied for prepayment or foreclosure of a floating rate loan; for a request to reduce the sanctioned amount before disbursement; for the return of title documents on closure; for the correction of an error attributable to the Bank; for the making of a complaint; or for any service the borrower has not requested. No charge shall be levied that does not appear in the Key Facts Statement issued to that borrower.

11.5 Key Facts Statement

Before the borrower is asked to accept a sanction, the Bank shall furnish a Key Facts Statement in the prescribed format, in a language the borrower understands, setting out the sanctioned amount, the tenure and number of instalments, the rate of interest and whether fixed or floating, the benchmark and reset frequency where floating, the annual percentage rate computed to include every fee and charge, the instalment amount and first instalment date, the total amount repayable, every contingent charge, the details of any lending service provider, and the grievance escalation matrix. The Statement shall be held open for not less than three working days.

An illustration of the computation of the annual percentage rate for a representative home loan is set out in Annexure B, and an equivalent illustration specific to the borrower's own loan shall accompany the Key Facts Statement.

11.6 Charges Not Disclosed

A charge not disclosed in the Key Facts Statement issued to a borrower shall not be recovered from that borrower at any time during the currency of the loan. This paragraph admits of no exception.

11.7 Penal Charges

A charge levied on default is a penal charge and not a penal rate of interest. It shall not be added to the rate of interest, shall not be capitalised and shall not itself attract interest. Penal charges shall be levied at 2% per annum on the overdue amount alone, subject to a maximum of Rs. 1,000 per instalment per month, shall be disclosed in the agreement and the Key Facts Statement, and shall be notified to the borrower within three business days of being levied. A penal charge shall be waived where the default arose from an error of the Bank, a failure of the payment system, or a delay in the credit of salary or pension for a reason not attributable to the borrower.

12. Sanction, Agreement and Security

12.1 Sanction Letter

On sanction, the Bank shall issue a sanction letter stating the amount, tenure, rate, instalment, charges, the conditions precedent to disbursement, the security to be created, the disbursement schedule where applicable, and the validity of the sanction. Acceptance shall be obtained in writing or through an authenticated electronic channel and a copy of the accepted letter given to the borrower.

12.2 Loan Agreement

The loan agreement shall be executed before disbursement. A copy of the executed agreement, together with a copy of every document the borrower signed and every enclosure referred to in it, shall be furnished to the borrower free of charge at execution, and acknowledgement obtained. The Bank shall not require the borrower to request these documents.

12.3 Creation of Security

The mortgage shall be created before the first disbursement, save in the cases in paragraph 12.4. Security shall be created by deposit of title deeds where the property is situated in a notified place, and by registered mortgage otherwise or where Legal so requires. The memorandum recording the deposit shall list every document deposited, shall be signed by the borrower, and a copy shall be given to the borrower.

12.4 Deferred Creation

Where the property is under construction and the title documents are not yet available to the borrower, the mortgage shall be created over the borrower's rights under the agreement for sale, and the mortgage over the completed property shall be created within ninety days of the borrower obtaining the title documents. The sanction shall record this obligation and the Bank shall track it to completion. Undisbursed tranches shall not be released where the obligation has fallen due and has not been performed.

12.5 Registration with the Central Registry

Every security interest created shall be registered with the central registry within the period prescribed, and the registration particulars shall be placed on the loan file. Satisfaction of the security interest shall be recorded with the central registry within thirty days of closure.

12.6 Custody of Title Documents

Title documents shall be held in a fire-resistant strongroom under dual control. A register shall record every document received, its movement and its return, and shall be balanced against physical holdings quarterly by an officer independent of the custodians. Documents shall be moved between locations only under insured and tracked arrangements, and never by hand-carriage by an officer with a business target.

12.7 Inspection by the Borrower

A borrower may inspect the title documents held in respect of the borrower's loan, at the branch holding them, on three business days' notice, in the presence of an officer and without charge. The Bank shall furnish a list of the documents held on request, free of charge, within three business days.

13. Disbursement

13.1 Conditions Precedent

Disbursement shall be made only after every condition precedent recorded in the sanction letter has been satisfied and verified, the agreement executed, the security created or the deferred creation provided for under paragraph 12.4, the repayment mandate registered, the borrower's margin brought in, and the Key Facts Statement acknowledged.

13.2 Mode of Disbursement

Disbursement shall be made by direct credit to the account of the seller, the developer or the transferor lender as the transaction requires, and in the case of self-construction or improvement, to the borrower's own account. Disbursement shall not be made in cash, shall not be made to an account in the name of any third party other than as stated above, and shall not be routed through the account of a lending service provider or any other intermediary.

13.3 Construction-Linked Disbursement

Where the property is under construction, disbursement shall be released in tranches linked to verified progress. The stage matrix in Annexure C shall be applied unless the payment schedule in the agreement for sale requires otherwise, in which case the schedule shall be followed but no tranche shall be released ahead of the corresponding physical progress.

13.4 Verification Before Each Tranche

Before each tranche, the panel technical consultant shall certify the stage of construction reached, and the Bank shall verify that the borrower's proportionate margin has been brought in and that the aggregate disbursed does not exceed the permitted proportion of the value certified. A tranche shall not be released on the developer's demand letter alone.

13.5 Stalled Construction

Where construction has not progressed for six months, further disbursement shall be suspended, the borrower shall be informed with the reason, and the case shall be referred to Credit Risk. The Bank shall not levy any charge on the borrower by reason of the suspension, and shall not treat the suspension as a default by the borrower.

13.6 Net Disbursal and Deductions

Where any charge is deducted from the sanctioned amount, the deduction shall be itemised in the disbursement advice and the net amount stated. Interest shall be charged only on amounts actually disbursed and from the date of actual disbursement.

13.7 Amortisation Schedule

An amortisation schedule shall be furnished on commencement of the equated monthly instalment and shall be available at any time thereafter free of charge. A revised schedule shall be issued within five business days of any event that changes it, including a rate reset, a further tranche, a part-payment or a restructuring.

13.8 Cancellation Before Disbursement

A borrower may cancel a sanction at any time before the first disbursement without charge. Where a processing fee has been collected, it shall be refunded within seven business days save for the actual cost of legal and technical appraisal incurred, which shall be itemised.

14. Interest Rate Reset and Borrower Options

14.1 Reset

On a floating rate loan the rate shall be reset on each reset date by reference to the external benchmark, at the frequency stated in the loan agreement, which shall not be less frequent than quarterly. The spread over the benchmark shall not be varied during the tenure except on a change in the borrower's credit assessment, which shall be communicated with reasons.

14.2 Communication on Reset

On each reset the Bank shall inform the borrower of the revised benchmark, the revised rate, the effect on the instalment and on the tenure, and the options available under paragraph 14.3. The communication shall be sent within five business days of the reset taking effect, through the registered channels.

14.3 Borrower Options on an Increase

Where a reset increases the rate, the borrower shall be given the option to:

- Increase the instalment and retain the existing tenure.
- Extend the tenure and retain the existing instalment, subject to paragraph 14.4.
- Increase the instalment and extend the tenure in a combination the borrower elects.
- Prepay the loan in whole or in part, without any charge.
- Switch to a fixed rate, on payment of the charge in paragraph 11.3.

The borrower shall be told, in figures, the effect of each option on the instalment, the tenure and the total amount repayable, before electing. Where the borrower does not elect within thirty days, the instalment shall be increased and the tenure retained, and the borrower shall be told that this has been done and may elect otherwise at any time thereafter.

14.4 Limits on Tenure Extension

The tenure shall not be extended beyond the limits in paragraph 5.2, nor to a point at which the instalment would be insufficient to meet the interest accruing, which would result in negative amortisation. Where the borrower's election would produce either result, the Bank shall tell the borrower that the election cannot be given effect, explain why in figures, and offer the alternatives.

14.5 Frequency of Switching

A borrower may switch between floating and fixed rates during the tenure. The Bank shall not restrict the number of switches, but may levy the charge in paragraph 11.3 on each. The Bank shall disclose the charge and the effect on the instalment before the switch is given effect.

14.6 Spread Reduction

Where the Bank offers, or the borrower requests, a reduction in the spread on account of an improved credit assessment or a lower loan to value ratio, the Bank shall assess the request and communicate the decision within fifteen business days, and shall not decline it solely because the borrower has not sought a balance transfer elsewhere.

15. Repayment, Moratorium and Pre-EMI

15.1 Instalments

The loan is repayable in equated monthly instalments on the date stated in the loan agreement. The borrower may elect the instalment date from the options offered and may change it once during the tenure without charge.

15.2 Pre-EMI Interest

Where the loan is disbursed in tranches, interest on the amount disbursed shall be payable monthly from the date of each disbursement until the equated monthly instalment commences. Pre-EMI interest is interest and not an instalment; it does not reduce principal, and the borrower shall be told so in the sanction letter and in the Key Facts Statement.

15.3 Commencement of Instalments

The equated monthly instalment shall commence on the earlier of the month following full disbursement and the month following the expiry of the moratorium recorded in the sanction. A borrower may elect to commence instalments earlier, in which case the instalment shall be recomputed on the amount then disbursed and revised on each further tranche.

15.4 Moratorium

A moratorium on principal may be granted for the construction period, not exceeding thirty-six months from first disbursement. The borrower shall be told, in figures, the effect of the moratorium on the total interest payable over the tenure before it is agreed. Interest accruing during a moratorium shall not be capitalised without the borrower's express written consent given after that disclosure.

15.5 Mandate and Appropriation

Repayment shall be collected by direct debit under a mandate registered by the borrower. Amounts received shall be appropriated in the order stated in the loan agreement and reproduced in the Key Facts Statement, being costs, penal charges, other charges, overdue interest, overdue principal, current interest and current principal in that sequence.

15.6 Dishonour

Where an instalment is dishonoured, the mandate shall be represented once, and the borrower informed on the day of dishonour with the reason and the charge. The mandate shall not be presented more than twice in a month.

15.7 Statements and Certificates

A statement of account and an interest certificate shall be furnished annually without charge. A provisional certificate showing the interest and principal expected to be paid in the current financial year shall be furnished on request without charge, and shall be made available in the digital channels.

16. Prepayment, Foreclosure and Switching

16.1 Right to Prepay

A borrower may prepay a home loan in whole or in part at any time. The Bank shall not require a minimum period to have elapsed, a minimum number of instalments to have been paid, or a reason to be stated.

16.2 Charges on Prepayment

Rate type and borrower	Foreclosure or part-payment charge
Floating rate, individual borrower, any source of funds	Nil
Fixed rate, prepaid from the borrower's own sources	Nil
Fixed rate, prepaid by refinancing from another lender, within 36 months	Up to 2% of the amount prepaid
Fixed rate, prepaid by refinancing from another lender, after 36 months	Nil
Any rate type, on a reset increasing the rate, under paragraph 14.3	Nil

No charge shall be levied on prepayment or foreclosure of a floating rate home loan to an individual borrower in any circumstance. Where a charge is leviable it shall have been disclosed in the Key Facts Statement and shall be computed on the amount prepaid.

16.3 Foreclosure Statement

A foreclosure statement showing the outstanding principal, accrued interest to the proposed date of closure, any charge leviable and the total payable shall be furnished within three business days of a request, free of charge and without limit on the number of requests.

16.4 Effect of Part-Payment

On a part-payment the borrower shall be given the option of reducing the instalment or reducing the tenure, and shall be told the effect of each in figures before electing. Where the borrower does not elect, the tenure shall be reduced. A revised amortisation schedule shall be issued within five business days.

16.5 Interest on Prepayment

Interest shall be charged only up to the date on which the prepayment is credited. No instalment falling due after that date shall be collected, and any instalment so collected shall be refunded within three business days with compensation at Rs. 100 per day of delay.

16.6 Balance Transfer Out

Where a borrower seeks to transfer the loan to another lender, the Bank shall furnish the foreclosure statement and the list of documents held within three business days, shall not impose any condition not in the loan agreement, and shall not delay the release of documents under Section 20. The Bank may make a retention offer once, and shall not make the processing of the transfer conditional on the borrower considering it.

17. Insurance and Property Protection

17.1 Property Insurance

The property mortgaged shall be insured against fire and allied perils for its reconstruction value, for the currency of the loan, with the Bank recorded as loss payee. The borrower may arrange the insurance from any insurer of the borrower's choosing, and the Bank shall not require that it be arranged through the Bank or through any insurer with which the Bank has an arrangement.

17.2 Failure to Insure

Where the borrower fails to maintain property insurance, the Bank may effect it and recover the premium from the borrower, having first given the borrower thirty days' notice and an opportunity to produce evidence of a subsisting policy. The Bank shall not effect insurance without that notice, and shall recover only the actual premium.

17.3 Credit Life Insurance Is Optional

Credit life insurance and any other personal insurance offered in connection with a home loan is optional. The Bank shall not make the sanction, the rate, the amount, the tenure or the loan to value ratio conditional on the purchase of such insurance, and shall not represent that it is required. Consent shall be obtained separately from consent to the loan, in a separate document or a separately acknowledged section, after disclosure of the premium, the sum assured, the term, the insurer and the exclusions.

17.4 Financed Premium

Where a premium is financed as part of the loan, it shall be included in the annual percentage rate disclosed in the Key Facts Statement, shown separately in the disbursement advice, and shown separately in the amortisation schedule. A financed premium counts towards the sanctioned amount for the purpose of the loan to value ceiling in Section 10.

17.5 Refund on Prepayment

Where a loan carrying a financed insurance premium is prepaid in full, the Bank shall inform the borrower of the right to seek a proportionate refund from the insurer and shall assist in making the request without charge.

17.6 Death of a Borrower

On the death of a borrower, the Bank shall inform the surviving co-applicants and the legal representatives of the outstanding amount and of any insurance that may respond, and shall assist in filing the claim. The Bank shall not commence recovery action while an insurance claim is pending, shall not contact any person other than the surviving co-applicants and the legal representatives, and shall not treat the death as an event of default. Where the surviving co-applicants wish to continue the loan, the Bank shall consider the request on the basis of their assessed capacity and shall not require immediate repayment as a condition of considering it.

18. Monitoring, Delinquency and Classification

18.1 Portfolio Monitoring

The Mortgages vertical shall monitor the portfolio monthly by vintage, variant, sourcing channel, loan to value band, debt burden ratio band, geography, approved project and credit score band, and shall report to the Risk Management Committee quarterly on delinquency trends and early warning indicators.

18.2 Early Warning

The following shall be treated as early warning indicators: a dishonoured instalment; a decline in salary credits observed in a linked account; a new enquiry pattern indicating credit-seeking behaviour; classification of another facility of the borrower as overdue; stalled construction under paragraph 13.5; withdrawal of approval of the project under paragraph 9.7; and failure to create the mortgage within the period recorded under paragraph 12.4.

18.3 Special Mention Account Classification

Classification	Condition
SMA-0	Principal or interest overdue between 1 and 30 days
SMA-1	Principal or interest overdue between 31 and 60 days
SMA-2	Principal or interest overdue between 61 and 90 days

Days past due are counted from the date on which the amount fell due. Classification is at the level of the borrower's account, is updated at the end of each day, and shall not be deferred, reversed or suppressed for any commercial reason.

18.4 Non-Performing Asset Classification

A loan shall be classified as a non-performing asset where any amount of interest or principal remains overdue for more than ninety days. Classification shall be made by the system on the basis of the record of recovery, without discretion. Upgrade to standard shall be made only when the entire arrears of interest and principal have been paid, and not on part payment. Pre-EMI interest that has fallen due and remains unpaid counts as an overdue amount for the purposes of this paragraph.

18.5 Prohibition on Evergreening

A loan shall not be sanctioned, restructured, topped up or extended for the purpose of enabling the repayment of an existing loan of the same borrower so as to avoid or defer classification. Any proposal that would have that effect shall be referred to Credit Risk, and any instance detected shall be reported to the Audit Committee.

18.6 Notice of Default

On an amount becoming overdue the Bank shall inform the borrower within three business days, stating the amount, the date it fell due, the penal charge applicable, the consequence for classification and credit reporting, and the channels available to discuss the position. Further notices shall be issued at 30, 60 and 85 days past due, the last of which shall state expressly that classification as a non-performing asset will follow at 90 days.

18.7 Restructuring

A borrower whose circumstances have changed such that the existing terms are no longer sustainable shall be considered for restructuring before enforcement is pursued. A request may be made at any time and shall be acknowledged within two business days and decided within fifteen business days of complete information. Restructuring may take the form of an extension of tenure within the limits in paragraph 5.2, a reduction of instalment with a corresponding extension, a moratorium on principal not exceeding twelve months, a revised instalment date, or a combination. Before a restructuring is given effect the borrower shall be told in writing that it will be reported under paragraph 21.1 with the applicable indicator and what that means. No fresh processing fee shall be charged on a restructuring.

19. Default, Enforcement and Recovery Conduct

19.1 Overriding Provision

Paragraphs 19.2 to 19.6 admit of no exception. No officer of the Bank, at any level, may authorise a departure from them, and no circumstance of exposure, delay or borrower conduct justifies one. A breach by an employee is a disciplinary matter and by an agent is a ground for immediate termination of the engagement.

19.2 Permitted Hours and Manner

Contact with a borrower for the purpose of recovery shall be made only between 8 a.m. and 7 p.m. The caller shall identify themselves by name, state that they are calling on behalf of FinTrust Bank Limited, state the loan account reference and the purpose of the call, and shall speak in a language the borrower understands.

19.3 Prohibited Conduct

The following are prohibited in every circumstance:

- Any threat, intimidation, abuse, obscenity or humiliation, whether spoken, written or implied.
- Any threat of a consequence the Bank is not lawfully entitled to pursue, including any threat of criminal proceedings for the mere non-payment of a debt, and any threat to take possession otherwise than under the process in paragraph 19.5.
- Contact with the borrower's relatives, neighbours, employer, colleagues or any other third party in relation to the debt, save that a person given by the borrower as a reference may be contacted once, and only to establish the borrower's whereabouts where the borrower cannot be reached.
- Disclosure of the debt, or of any detail of it, to any person other than the borrower, a co-applicant, a guarantor or the borrower's authorised representative.
- Visiting the property, the borrower's residence or the borrower's workplace outside permitted hours, or visiting the workplace at all where the borrower has asked that it not be visited.
- Affixing any notice at the property, or communicating in any manner designed to be seen by neighbours or the public, otherwise than as expressly required by the enforcement process.
- Persisting with contact after the borrower has stated an inability to speak, or contact at a frequency amounting to harassment.
- Retaining or seeking to retain any personal property of the borrower found at the property.

19.4 Frequency

Contact shall not be made more than three times in a calendar week across all channels, save where the borrower has asked to be contacted or has agreed to a call at a particular time. A field visit shall not be made more than once in a calendar month without the approval of the Regional Credit Head.

19.5 Enforcement

Enforcement of the security shall be commenced only after the borrower has been given the statutory notice, an opportunity to be heard on any representation made, and an opportunity to be considered for restructuring under paragraph 18.7. Commencement requires the approval of the Head of Retail Lending on the recommendation of Legal.

Where possession is taken, an inventory of movable property found at the premises shall be prepared in the presence of witnesses, a copy given to the borrower, and the property stored safely and returned to the

borrower on demand. Possession shall be taken at a reasonable hour and with due regard to the presence of occupants, and shall not be taken in a manner calculated to cause public embarrassment.

Where the property is to be sold, the borrower shall be given the notice prescribed, shall be informed of the reserve price and the date and mode of sale, and shall be permitted to redeem at any time before the sale is completed. Any surplus remaining after satisfaction of the debt and the costs of enforcement shall be paid to the borrower within fifteen business days of realisation, and the computation shall be furnished with the payment.

19.6 Recovery Agents

Where the Bank engages a recovery agent it shall furnish the borrower with the agent's name and contact details before the agent makes contact. Agents shall be trained and certified, shall carry an authorisation letter and photograph identification, and shall be bound by this Section in their engagement agreement. A borrower may at any time ask that the Bank deal with them directly rather than through an agent, and the Bank shall comply. An agent shall not be engaged to take possession of a property.

19.7 Recording and Complaints

Every recovery contact shall be logged with the date, time, channel, person and outcome. Recovery calls shall be recorded and retained for one year. A complaint of a breach of this Section shall be investigated by Compliance independently of the collections function and concluded within twenty-one days, and the outcome reported to the Head of Retail Lending and, where upheld, to the Risk Management Committee.

20. Closure, Release of Security and Return of Documents

20.1 Closure

A loan is closed when the entire amount due, comprising principal, interest, charges and any penal charge, has been received. On closure the Bank shall stop the repayment mandate, cease all interest accrual, and refund any amount received in excess within seven business days.

20.2 No-Objection Certificate

A no-objection certificate confirming closure shall be issued within seven business days of closure, free of charge and without the borrower having to request it, stating the loan account reference, the date of closure and that no amount remains due.

20.3 Release of the Mortgage

The mortgage shall be released and the satisfaction of the security interest recorded with the central registry within thirty days of closure. Where the mortgage was created by registered instrument, the deed of reconveyance or release shall be executed and registered at the Bank's cost within the same period.

20.4 Return of Title Documents

All original title documents shall be returned to the borrower within thirty days of the date on which the loan is closed, at the branch of the borrower's choosing or at the branch where they are held, as the borrower elects. Return shall be free of charge and shall not be made conditional on any request, formality or further payment.

Where the documents are not returned within thirty days, the Bank shall pay the borrower compensation of Rs. 5,000 for each day of delay, credited or paid without the borrower having to claim it, and shall continue to pay it until the documents are returned or, in a case falling within paragraph 20.5, until the duplicate documents are furnished. This paragraph admits of no exception.

20.5 Loss of Documents

Where an original document is lost, damaged or cannot be traced, the Bank shall inform the borrower within the thirty-day period, shall assist the borrower in obtaining certified or duplicate copies at the Bank's own cost including all statutory and legal costs, and shall issue a letter recording the loss and the Bank's responsibility for it in a form the borrower can produce to any third party. The compensation in paragraph 20.4 continues to accrue, and the Bank shall additionally be allowed a period of thirty days beyond the initial thirty for the completion of the duplication process, during which the compensation continues.

20.6 Where the Borrower Cannot Be Located

Where the borrower cannot be located, or has died and the legal representatives have not come forward, the Bank shall publish the procedure for claiming the documents on its website, shall retain the documents in secure custody, and shall record the position on the loan file. Compensation under paragraph 20.4 does not accrue for a period during which the Bank has, with evidence on the file, been unable to effect return for a reason attributable to the borrower.

20.7 Cancellation of Mandates

The repayment mandate shall be cancelled within three business days of closure and the cancellation confirmed to the borrower. Where an instalment is collected after closure through a mandate not cancelled

in time, the amount shall be refunded within three business days together with compensation at Rs. 100 per day of delay.

21. Credit Information, Confidentiality and Fair Practices

21.1 Credit Information Reporting

The Bank shall report to credit information companies each month the existence of the loan, the sanctioned amount, the outstanding balance, the amount overdue if any, the number of days past due, and the status of the account including any restructuring, settlement or write-off. Before an amount is reported as overdue for the first time on a loan, the Bank shall notify the borrower of what it intends to report and when.

Where a borrower states that something reported is incorrect, the Bank shall investigate and communicate the outcome within thirty days, shall correct the report with every credit information company to which it was sent within seven days of reaching that conclusion, and shall pay compensation of Rs. 100 per day from the expiry of the thirty days until the correction is made. On closure, the credit information companies shall be updated within thirty days to show the account as closed with a nil outstanding.

21.2 Confidentiality

Information relating to a borrower, to the loan and to the property is confidential, and the duty survives closure. Disclosure is permitted only where compelled by law or an order of a competent authority, where there is a duty to the public to disclose, where the interests of the Bank require it and then only to the minimum extent necessary, or where the borrower has given express and informed consent. Reporting under paragraph 21.1 and registration with the central registry are required by law and do not require separate consent on each occasion.

21.3 Collection, Use and Retention of Data

The Bank shall collect only such data as is necessary for the appraisal and servicing of the loan, shall state the purposes at collection, and shall not use it for any incompatible purpose. Loan records shall be retained for eight years from closure, or until the conclusion of any proceeding relating to the loan, whichever is later. Records of a declined application shall be retained for three years and then destroyed. Title documents are not records for this purpose and are governed by Section 20.

21.4 Access and Correction

A borrower is entitled to a copy of the information held about them and to require correction of any inaccuracy. A correction request shall be given effect within ten business days or refused in writing with reasons.

21.5 Fair Practices

The Bank adopts the following as binding standards:

- Every communication shall be in a language the borrower understands.
- The Bank shall not interfere in the affairs of a borrower except as provided in the loan agreement, and shall not seek information about matters unconnected with the loan or the property.
- Where the Bank has agreed to a request it shall act within the stated turnaround time and shall not require the borrower to repeat the request.
- The Bank shall not transfer a loan to a third party without the borrower's knowledge, and shall inform the borrower of the transferee and of the borrower's rights on any transfer.

- Where the Bank seeks additional security or a guarantee during the currency of a loan, it shall record the reason, and shall not do so solely on account of a decline in the market value of the property where the account is regular.
- The Bank shall not decline a request for a spread reduction solely because the borrower has not sought a balance transfer elsewhere.

21.6 Security and Outsourcing

Access to borrower data shall be on the principle of least privilege and shall be logged, with logs reviewed monthly. A service provider handling borrower data shall be bound by confidentiality obligations no less stringent than the Bank's own, shall be subject to audit, and shall not sub-contract without written consent. A suspected breach shall be reported to the Chief Information Security Officer within two hours of detection and affected borrowers notified without undue delay where harm is likely.

22. Grievance Redressal, Roles and Policy Review

22.1 Grievance Channels and Escalation

A grievance may be lodged at any branch, through the contact centre, through the complaint form on the Bank's website or digital channel, by letter, or by electronic mail to the published grievance address. Every grievance shall be acknowledged, tracked through a unique reference number, and closed only with a substantive response. A grievance concerning a panel advocate, valuer, technical consultant, lending service provider or recovery agent shall be received and resolved by the Bank, and the borrower shall not be directed to that party.

Level	Authority	Resolution time
1	Branch Manager or Mortgage Service Manager	7 business days
2	Regional Nodal Officer	14 business days
3	Principal Nodal Officer	21 business days
4	Internal Ombudsman	30 days
5	External Banking Ombudsman	As prescribed by the scheme

A grievance the Bank proposes to reject wholly or partly shall be referred to the Internal Ombudsman before the decision is communicated. The right to approach the external Banking Ombudsman shall be stated in every final response.

22.2 Responsibility Matrix

Role	Responsibility
Board of Directors	Approval of the Policy; oversight of its operation
Risk Management Committee	Recommendation of the Policy; delinquency, panel and exception reporting
Audit Committee	Evergreening instances; credit audit and custody findings
Credit Committee	Sanctions above Rs. 5,00,00,000
Asset and Liability Committee	Benchmark and rate methodology
Product and Pricing Committee	Spreads within the methodology; charges
Head of Retail Lending	Policy ownership; enforcement approvals; settlements; agent conduct
Head of Mortgages Credit	Panel reallocation approvals; approved projects; disbursement on withdrawn projects
Chief Risk Officer	Credit standards in Section 8; LTV standards in Section 10; classification integrity
Regional Credit Head	Sanctions within delegation; penal charge waivers; field visit approvals
Head of Compliance	Regulatory alignment; independent investigation of Section 19 complaints
Internal Audit	Independent assurance, including quarterly title deed custody verification

22.3 Approval Authority for Exceptions

Exception type	Approving authority
Sanction to an applicant within paragraph 6.2	Head of Retail Lending
Fourth home loan to the same individual	Head of Retail Lending
Sanction where DBR is within 5 points of the ceiling	One level above ordinary authority
Sanction where LTV is within 2 points of the ceiling	One level above ordinary authority
Reallocation of a panel case on recorded conflict	Head of Mortgages Credit
Release of a tranche on a project whose approval is withdrawn	Head of Mortgages Credit
Penal charge waiver on hardship grounds	Regional Credit Head
More than one field visit in a month	Regional Credit Head
Commencement of enforcement	Head of Retail Lending on Legal's recommendation
Departure from Section 10, 18, 19, paragraph 9.3, 11.6 or 20.4	Not permitted

22.4 Monitoring

Compliance shall conduct thematic testing at least twice each financial year, covering appraisal and income verification quality, DBR and LTV compliance, panel allocation integrity, legal opinion and valuation quality, Key Facts Statement issuance and accuracy of the annual percentage rate, disbursement against verified construction stage, security creation within the recorded period, reset communication and borrower option handling, classification integrity, penal charge computation, collection conduct, and the return of title documents within thirty days. Credit Risk shall conduct a credit audit of a sample of sanctions each quarter, and Internal Audit shall verify title deed custody at every branch visit.

22.5 Key Indicators

- Applications received, sanctioned, declined and withdrawn, by channel and by approved project.
- Proportion of sanctions with complete income verification at first submission.
- Distribution of sanctions by LTV band and DBR band, and sanctions within the tolerance in paragraph 22.3.
- Proportion of borrowers issued a Key Facts Statement before acceptance, and instances of a charge levied that was not in it.
- Cases where the mortgage was not created within the period recorded under paragraph 12.4.
- Tranches released without a current stage certificate.
- Resets communicated within five business days, and the distribution of borrower elections under paragraph 14.3.
- Delinquency by vintage, channel and approved project; SMA-1 and SMA-2 balances; slippage to non-performing.
- Complaints alleging breach of Section 19, and the proportion upheld.
- Title documents returned within thirty days; compensation paid under paragraph 20.4; instances falling within paragraph 20.5.
- Credit information correction requests, upheld proportion and turnaround.

22.6 Training

Every member of staff in a role involving origination, appraisal, servicing, custody or collection shall complete certification on this Policy within thirty days of joining and annually thereafter. Certification on Section 19 is a condition of authorisation to make recovery contact and applies equally to the staff of every agent engaged by the Bank. Certification on Section 12 is a condition of acting as a joint custodian of title documents.

22.7 Policy Review and Amendment

This Policy shall be reviewed at least once every financial year by the Mortgages vertical in consultation with Credit Risk, Compliance, Legal, Operations and the Chief Risk Officer, and placed before the Board through the Risk Management Committee. An interim amendment may be initiated on a change in regulatory direction, the introduction or withdrawal of a variant, a finding from audit, credit audit or thematic testing, or a material adverse trend in delinquency, custody or grievance data. Where a regulatory direction takes effect before the Policy can be amended, the direction applies from its effective date and Compliance shall issue an interim instruction. An approved amendment shall be communicated to staff within seven days, incorporated into training within thirty days, reflected in the Key Facts Statement format and the loan agreement within thirty days, and notified to borrowers where it affects them. The version history is maintained in Annexure E and superseded versions retained for ten years.

Annexure A: Documentation

A.1 Applicant Documentation

- Completed and signed application form for every applicant and co-applicant.
- Officially valid document establishing identity and address, as listed in the Savings Account Policy.
- Recent photograph and permanent account number for every applicant and co-applicant.
- Bank statements for the preceding twelve months for every account not maintained with the Bank.
- Consent to obtain credit information reports, for every applicant, co-applicant and guarantor.
- Acknowledged Key Facts Statement before acceptance of sanction.

Category	Income documents
Salaried, Category A employer	Salary slips for 3 months; employment identity card; Form 16 for the preceding year
Salaried, other employer	Salary slips for 6 months; appointment letter or employment certificate; Form 16 for 2 years
Self-employed professional	Certificate of practice or professional registration; income tax returns with computation for 3 years; practice account statements for 12 months
Self-employed, business income	Income tax returns with computation for 3 years; audited financial statements for 3 years; business or tax registration; current account statements for 12 months
Pensioner	Pension payment order; pension account statement for 12 months; proof of date of birth
Rental income relied upon	Registered lease deed; bank statement evidencing credit of rent for 12 months; property tax receipt

A.2 Property Documentation

Transaction type	Property documents
Purchase from a developer	Agreement for sale; allotment letter; approved plan; commencement certificate; project registration with the competent authority; developer's title documents; payment receipts; demand letter
Purchase in the secondary market	Chain of title deeds for the period searched; encumbrance certificate; latest property tax receipt; approved plan; completion or occupancy certificate; society share certificate and no-objection where applicable
Self construction	Title deed for the plot; approved plan; commencement certificate; estimate of construction cost certified by a panel valuer; encumbrance certificate
Plot and construction	Title deed or sale agreement for the plot; layout approval; approved plan for the proposed construction; certified cost estimate
Home improvement	Title deed; approved plan where the improvement requires approval; certified estimate of the cost of improvement

Transaction type	Property documents
Balance transfer	List of documents held by the transferor lender; statement of outstanding; foreclosure statement; repayment track record for 12 months; original documents on release
Top-up	Existing security documents; current valuation report; repayment track record for 12 months

Annexure B: Illustrative Key Facts Statement

B.1 Loan Particulars

Item	Detail
Loan variant	FinTrust Home Purchase
Property value assessed under Section 9	Rs. 62,50,000
Sanctioned amount	Rs. 50,00,000
Loan to value ratio	80%
Borrower's margin	Rs. 12,50,000
Rate of interest, floating	8.75% per annum, monthly reducing balance
Benchmark and reset frequency	External benchmark, reset quarterly
Tenure	240 months
Equated monthly instalment	Rs. 44,186
Processing fee, 0.50% capped	Rs. 15,000
Legal and technical appraisal	Rs. 6,500
Documentation charge	Rs. 1,000
Goods and services tax on fees, 18%	Rs. 4,050
Amount actually received by the borrower	Rs. 49,73,450

B.2 Cost of the Loan

Item	Amount
Sanctioned amount on which interest is charged	Rs. 50,00,000
Less: fees, charges and tax deducted at disbursement	Rs. 26,550
Amount actually received by the borrower	Rs. 49,73,450
Total of 240 instalments of Rs. 44,186	Rs. 1,06,04,640
Of which, principal	Rs. 50,00,000
Of which, interest	Rs. 56,04,640
Total amount repayable	Rs. 1,06,04,640
Annual percentage rate	8.82%

The annual percentage rate of 8.82% exceeds the rate of interest of 8.75% because the borrower receives Rs. 49,73,450 but pays interest computed on Rs. 50,00,000. On a long tenure the difference between the two figures is small, because the fees are spread over 240 instalments.

B.3 Effect of a Reset

The following shows the effect of a reset increasing the rate from 8.75% to 9.00%, and the options available under paragraph 14.3.

Option	Instalment	Tenure
Existing position at 8.75%	Rs. 44,186	240 months
Increase the instalment, retain the tenure	Rs. 44,986	240 months
Retain the instalment, extend the tenure	Rs. 44,186	253 months
Default where the borrower does not elect within 30 days	Rs. 44,986	240 months

A rise of 0.25% increases the instalment by Rs. 800 a month, or extends the tenure by approximately 13 months. The borrower shall be shown both figures before electing, and may change the election at any time thereafter.

B.4 Contingent Charges

Event	Charge
Instalment overdue	2% per annum on the overdue amount, maximum Rs. 1,000 per instalment per month
Instalment dishonour	Rs. 500 per instance
Foreclosure of this floating rate loan, at any time	Nil
Switching from floating to fixed	0.50% of the outstanding principal

B.5 Points to Note

- The loan is on a floating rate, so no foreclosure or part-payment charge is payable at any time, whatever the source of the funds used.
- Stamp duty and registration charges on the purchase are excluded from the property value for the loan to value computation, because the sanctioned amount exceeds Rs. 30,00,000.
- Credit life insurance is optional. It has not been taken in this illustration. Had a premium been financed, it would have been included in the annual percentage rate and would have counted towards the loan to value ceiling.
- Penal charges are excluded from the annual percentage rate because they are contingent on default.

Annexure C: Construction-Linked Disbursement Stages

Stage of construction	Cumulative proportion of the sanctioned amount that may be disbursed
On execution of the agreement for sale and creation of security	10%
On completion of the foundation and plinth	25%
On completion of the ground floor structure	40%
On completion of the structure up to the borrower's floor	55%
On completion of the full structure of the building	70%
On completion of brickwork, plastering and flooring of the unit	85%
On completion of fittings, fixtures and internal finishing	95%
On issue of the completion certificate and offer of possession	100%

The proportions in this Annexure are ceilings. A tranche shall be released only against a current stage certificate from the panel technical consultant under paragraph 13.4, and only where the borrower's proportionate margin has been brought in. Where the payment schedule in the agreement for sale demands a higher proportion at a given stage, the schedule shall be followed only to the extent that physical progress supports it, and the difference shall be met by the borrower.

Annexure D: Turnaround Time and Compensation Matrix

Event	Timeline	Compensation for delay
Acknowledgement of application	At submission	Nil
Legal opinion from panel advocate	7 business days from allocation	Nil
Valuation report from panel valuer	5 business days from allocation	Nil
Technical assessment	5 business days from allocation	Nil
Decision on a complete application	10 business days	Nil
Communication of a decline with reason	7 days	Nil
Copy of legal opinion and valuation to the applicant	With the decision	Nil
Refund of processing fee on decline, net of actuals	7 business days	Nil
Validity of the Key Facts Statement	Not less than 3 working days	Not applicable
Copy of loan agreement and enclosures	At execution	Nil
Registration with the central registry	As prescribed	Not applicable
Disbursement after conditions precedent satisfied	3 business days	Nil
Stage certificate before a tranche	3 business days from request	Nil
Creation of mortgage after title documents received	90 days	Not applicable
List of title documents held, on request	3 business days	Nil
Inspection of title documents by the borrower	On 3 business days' notice	Nil
Communication on rate reset	5 business days from effect	Nil
Window for borrower election on reset	30 days	Not applicable
Revised amortisation schedule after any change	5 business days	Nil
Foreclosure statement	3 business days	Nil
Decision on a spread reduction request	15 business days	Nil
Notice of an amount becoming overdue	3 business days	Not applicable
Notice before non-performing classification	At 85 days past due	Not applicable
Acknowledgement of a restructuring request	2 business days	Nil

Event	Timeline	Compensation for delay
Decision on a restructuring request	15 business days	Nil
Investigation of a Section 19 conduct complaint	21 days	Nil
Payment of surplus after enforcement sale	15 business days	Nil
Refund of excess on closure	7 business days	Nil
No-objection certificate on closure	7 business days	Nil
Release of mortgage and registry satisfaction	30 days	Not applicable
Return of original title documents	30 days	Rs. 5,000 per day
Additional period where a document is lost	Further 30 days	Rs. 5,000 per day continues
Cancellation of repayment mandate	3 business days	Rs. 100 per day on a wrongly collected instalment
Credit information update on closure	30 days	Nil
Investigation of a credit information error	30 days	Rs. 100 per day thereafter
Correction of a credit information error	7 days from conclusion	Nil
Grievance, Level 1	7 business days	Nil
Grievance, Level 2	14 business days	Nil
Grievance, Level 3	21 business days	Nil

Annexure E: Abbreviations and Version History

E.1 Abbreviations

Abbreviation	Expansion
ALCO	Asset and Liability Committee
APF	Approved Project Finance
APR	Annual Percentage Rate
CIC	Credit Information Company
DBR	Debt Burden Ratio
DPD	Days Past Due
EC	Encumbrance Certificate
EMI	Equated Monthly Instalment
KFS	Key Facts Statement
LSP	Lending Service Provider
LTV	Loan to Value Ratio
NOC	No-Objection Certificate
NPA	Non-Performing Asset
OVD	Officially Valid Document
SMA	Special Mention Account
TAT	Turnaround Time

E.2 Version History

Version	Date	Approved by	Summary of change
7.0	11 June 2020	Board of Directors	Consolidated reissue
7.1	26 April 2021	Product and Pricing Committee	Revision of spreads; introduction of Plot and Construction variant
8.0	09 September 2022	Board of Directors	Migration to external benchmark linked pricing; rewrite of Section 14
8.1	20 July 2023	Board of Directors	Introduction of borrower options on reset in paragraph 14.3; prohibition on negative amortisation
8.2	14 March 2024	Board of Directors	Introduction of the thirty-day return of title documents and the compensation in paragraph 20.4
9.0	02 December 2024	Board of Directors	Introduction of the Key Facts Statement and annual percentage rate disclosure; penal interest replaced by penal charges; addition of Annexure B

Version	Date	Approved by	Summary of change
9.1	14 April 2026	Board of Directors	Current version. Central panel allocation made mandatory in paragraph 9.3; LTV ceilings made non-waivable; addition of Annexures C and D